

Quiz 2

Course: Principles of Economics

Course Code: ECO 201

Total points: 10

Weightage towards final grade: 10%

Date: 12/02/2026

Time: 6:10 PM - 6:30 PM

Name: _____ Roll No. _____

1. Circle the right answer. If the right answer is (A), write it as such (A)
 2. Right answer: 1 mark. No answer: 0 marks. Wrong answer: -0.2 marks (Except 9.).
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1. Consider the utility for 2 goods. Good 1 is useless without good 2, but good 2 gives some utility even without good 1. Which of the following utility functions represents such a scenario. Note x_1 and x_2 are non-zero quantities of good 1 and 2.

(A) $x_1^\alpha x_2^\beta$, $\alpha, \beta \in [0, 1]$ (B) $x_1 x_2 + x_1$ (C) $x_2^{x_1}$ (D) Both (B) and (C)

Answer. (C). I know there is an error in the question but after discussing with the class, I think one could figure it out.

2. Consider three bundles of goods, x, y and z . If $x > y$, $y > z$ and $x < z$, the preference relation is

(A) Complete (B) Transitive (C) Rational (D) All of the above.

Answer. (A). It is only complete.

3. **True or False.** Consider a production function $y = f(x_1, x_2)$. For constant returns to scale, $f(\alpha x_1, \beta x_2) = (\alpha + \beta)f(x_1, x_2)$, $\forall \alpha, \beta \in (0, 1)$. _____ *Answer.*

False. This condition does not in anyway indicate CRS. An example of CRS would be
 $f(\alpha x_1, \alpha x_2) = \alpha f(x_1, x_2)$

4. What information is sufficient to compute consumer surplus? Assume typical demand and supply curves

(A) Equation of demand curve and equilibrium price (B) Equation of demand curve
(C) Equation of demand curve and supply curve (D) Both (A) and (C)

Answer. (D)

5. Which of these is a typical cause of inefficient markets?

(A) Too many firms (B) Too many consumers
(C) Non linear demand curve (D) None of the above.

Answer. (D). Typical causes of inefficient markets are externalities, too few firms/consumers etc.

6. In order to derive TRS between two inputs, we set Δy to

(A) 1 (B) 0 (C) $\frac{\Delta x_1}{\Delta x_2}$ (D) -1

Answer. (B) 0.

7. Producer Surplus is

(A) Profit (B) Revenue (C) Market Valuations (D) All of these

Answer. (A) Profit

8. When the price of a good p_1 decreases, your budget

(A) Increases (B) Decreases (C) Remains unchanged

Answer. (C) Remains unchanged. Your budget set, however, changes.

9. In the setting of budget constraints (with our assumption on continuity), suppose the price of x_1 ($p_1 = 0$). Draw the budget constraint, shading the budget set. Consider good 2 on the y-axis and good 1 on the x-axis. (2 marks, no negative marking)

